

NK² — BESS-as-a-Service Platform

Structuring memo — VoltZeal control acquisition, capital stack & the anti-dilution firewall

STRUCTURING MEMO

The business is not hardware and it isn't software — it's a capital-and-contracts platform sitting on top of both. The entire structuring problem reduces to one design choice: keep the IP company thin and permanently capital-light, and put every rupee of container capex somewhere else entirely.

01 — THE CORE STRUCTURAL PRINCIPLE

Every crore NK² deploys to fund a customer's ₹8cr container has to land on a balance sheet. If it lands inside VoltZeal, the company must issue new shares to absorb it, and the founders get diluted every single time NK² wins a customer — which defeats the point of giving them equity at all. The fix is not a contractual promise not to dilute; it's **never giving capital a reason to touch VoltZeal's cap table in the first place.**

Split the business into three legally separate entities along the fault line between IP and capital. VoltZeal owns and licenses the EMS/BMS stack and nothing else. A separate holding/SPV structure owns the containers, carries the debt, and signs the customer contracts. The two are connected only by an arm's-length license agreement — a receivable on one side, a fee on the other, no shared cap table.

LAYER 1 TECHCO

VoltZeal Technologies Pvt Ltd — owns the EMS/BMS IP, product roadmap, and engineering team. Earns a license/royalty fee from every SPV that deploys its software. Carries no BESS assets, no project debt, no customer credit risk. Balance sheet stays small and stable forever — **this is what makes it dilution-proof.**

LAYER 2
CAPITAL / ASSETCO

NK² Energy Holdco + a series of project SPVs. Owns the containers, raises the equity and project debt to fund them, signs the ESCO/opex contract with each C&I customer, and licenses VoltZeal's software to run each site. This is where every future rupee of growth capital lives — permanently walled off from VoltZeal's cap table.

LAYER 3
HARDWARECO

No separate entity needed. Containers are purchased by the SPVs as a capex line item from Adani, Waaree, or Chinese OEMs directly. Optional: a thin, at-cost procurement desk inside Holdco for bulk-buy leverage — deliberately kept as a pass-through, never a profit center, so no value gets stranded away from either TechCo or the customer contracts.

02 — ACQUIRING CONTROL OF VOLTZEAL

Target outcome: NK² at 80% economic and voting control, founders consolidated at 10–20%, existing VC funds and angels fully cashed out. Do it as a two-legged transaction, not a single primary round — a primary round is exactly the dilution mechanism you're trying to avoid, so use it as little as possible.

Leg A — Secondary buyout of the financial investors

NK² Holdco buys the two VC funds' and angels' combined ~20% stake directly for cash at the ~₹70cr valuation (plus a modest control premium — 15–25% is typical when a buyer is also providing the funds a clean, faster exit than they'd otherwise get). This requires waivers of any ROFR/co-sale rights in the existing SHA, and is the simplest, cleanest leg — pure cap table substitution, no dilution to anyone.

Leg B — Founder secondary, kept mostly off VoltZeal's own balance sheet

To get from founders' post-Leg-A ~80% down to NK²'s 80% (founders at ~20%), structure this as a **secondary purchase of founder shares by NK² Holdco** — cash changing hands between NK² and the founders directly — rather than a primary issuance into the company. A secondary transfers ownership without creating new shares, so it dilutes no one who isn't a willing seller. Keep any primary injection into VoltZeal itself small and purpose-bound (e.g. ₹3–5cr earmarked for VoltZeal's own product roadmap, not container capex), so the one dilution event that does touch the cap table is small, one-time, and pre-agreed.

COMPONENT	STRUCTURE	EFFECT
VC + angel stake (~20%)	Secondary, cash, control premium	Full exit, no dilution to anyone
Founder stake (80% → 20%)	Secondary (cash + earn-out tranche)	Ownership transfer, not new shares
Product roadmap capital	Small primary (₹3-5cr) into VoltZeal	One-time, pre-agreed, ring-fenced from container capex
Container / customer capex	Equity + debt into SPVs, never VoltZeal	Zero effect on VoltZeal cap table, ever

Retention mechanics for the founders

- **Earn-out tranche:** structure ~60–70% of secondary consideration as cash at close, the remainder deferred 18–24 months against EMS/BMS uptime and multi-site reliability SLAs — this is also NK²'s main technology-risk hedge.
- **Reverse vesting:** the founders' retained 10–20% vests over 3–4 years against continued employment, with acceleration on a qualifying termination or a later full-exit event.
- **New ESOP pool carved from NK²'s stake, not the founders':** any future refresh pool for engineering hires dilutes NK²'s 80%, never the founders' retained slice — write this as a one-way ratchet in the SHA.
- **Put/call at a pre-agreed formula:** NK² gets a call on the remaining founder stake after year 3–4 at an agreed EBITDA or ARR multiple; founders get a symmetric put, floor-protected. This lets NK² reach 100% later without forcing it now, and gives founders downside protection in exchange for giving up control today.

03 – THE ANTI-DILUTION FIREWALL, IN MECHANICS

This is the clause set that turns the structural split above into something a lawyer can actually enforce, on top of the entity separation itself:

- **Capital-call wall:** SHA covenant that VoltZeal will not raise primary capital, incur debt, or guarantee any AssetCo/SPV obligation without unanimous founder + NK² board consent — structurally unnecessary in the ordinary course (VoltZeal never needs the capital), but closes the loophole.
- **Non-recourse / non-petition language** in every SPV loan agreement: SPV lenders have no recourse to VoltZeal's IP, cash, or shares, and VoltZeal has no liability for SPV debt. Negotiated directly with the project lenders, not just stated internally.
- **Arm's-length license pricing, benchmarked and documented** — a fixed per-MW/per-container annual fee plus a royalty (e.g. 8–12%) on the

customer's savings-share revenue running through each SPV. This is VoltZeal's actual growth engine: its revenue and valuation scale with every site NK² adds, with zero capex and zero dilution required to capture that upside. Because VoltZeal and the SPVs sit under common NK² control, this needs a genuine transfer-pricing study (Form 3CEB / specified domestic transaction documentation) to survive scrutiny — treat it as real, not cosmetic.

- **Section 188 related-party approvals** on every VoltZeal-SPV license agreement once under common control — board sign-off each time, audit trail from day one.

04 — FIXING THE RISK-REWARD MISMATCH: PAYMENT WATERFALL & SKIN IN THE GAME

The dilution firewall above has a side effect if you're not careful: if VoltZeal sells you the container and EMS/BMS as a capital good and invoices its fee on delivery or accrual, it books revenue and is functionally done — while NK² has deployed the ₹8cr of capex and won't see the customer's savings-share for months, or at all if the system underperforms. VoltZeal gets paid regardless of whether the bet pays off. Fixing this needs the same structural instinct as the firewall itself: don't rely on a promise, change where the cash and the risk actually sit.

Kill the hardware pass-through

Don't let VoltZeal sell the container to you at all. Buy it directly from Adani, Waaree, or the OEM into the SPV. VoltZeal is a pure software/services counterparty to the SPV — never a capital-goods seller. This removes the one moment where they could book a sale and be done with the relationship.

Move the royalty from accrual to cash, and from senior to subordinated

- **Pay-when-paid:** VoltZeal invoices its royalty only against cash actually collected from the customer, not the contracted savings estimate. If NK² hasn't been paid, VoltZeal hasn't been paid — the timing risk you flagged disappears by construction.
- **Subordination in the SPV waterfall:** sequence each collection period as (1) senior debt service, (2) NK²'s preferred return on deployed capex, (3) VoltZeal's performance royalty, (4) residual split. A slow-ramping or underperforming site now hits VoltZeal's payment before it hits yours, not the other way round.

Cap any fixed fee to bare opex, and make it a recoupable draw

If VoltZeal needs a minimum retainer to keep support and monitoring staffed, size it to their marginal cost of servicing the fleet only, and net it against

future royalty once a site performs. That gives them a working-capital floor without creating a risk-free income stream sitting next to the royalty.

Put a commissioning/ramp warranty with real teeth

Define a ramp window (3–6 months per site) during which VoltZeal must tune the system to hit the agreed savings baseline at its own cost. If the site hasn't reached, say, 80% of the contracted target by the end of the window, VoltZeal owes a liquidated-damages payment *back* to the SPV — a real clawback, not just a forgone royalty.

Extend the founders' own earn-out to portfolio-level realized savings

Widen the deferred-consideration metric from the acquisition (Section 02) beyond system uptime to the average realized-savings ratio across the live fleet over the earn-out period. The founders' personal payout for selling the company becomes contingent on customers actually saving money — alignment that reaches the people making product decisions, not just the corporate entity.

Strongest version: a genuine, subordinated equity stake

Require a small (2–5%) VoltZeal/founder co-investment into the SPV or Holdco layer, junior to NK²'s equity — a promote-style structure where VoltZeal is paid only after NK²'s capital plus a preferred hurdle is returned. Small dollars, but it converts "exposed to losing a fee" into "exposed to losing capital," and gives them a reason to care about capex and OEM discipline too, not only software performance.

Net effect: VoltZeal's fixed take should be small and reimbursement-only. The bulk of their economics should sit behind NK²'s capital recovery in the waterfall, so a site that under-delivers hurts VoltZeal before it hurts NK² — not after.

05 – CAPITAL STACK PER SITE

Per 5MWh / 2MW container (~₹8cr), raised entirely at the SPV/Holdco level:

SOURCE	SHARE	APPROX.	NOTES
NK ² Holdco equity (own balance sheet or an AIF wrapper)	20–30%	₹1.6–2.4cr	Own capital for proof-of-concept sites; LP capital via a SEBI Cat II AIF once the model is proven
Senior secured project debt / equipment lease	60–70%	₹4.8–5.6cr	Green/renewable-infra NBFC lines, secured by assignment of the ESCO receivable + hypothecation of the container

Customer security deposit / bank guarantee	–	1–3 months' savings	Counterparty credit de-risking, standard in ESCO contracts
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Once 8–10 sites are stabilized and cash-flowing (12–18 months), securitize the pooled receivables or issue NCDs against them to recycle NK²'s equity check — and evaluate rolling stabilized SPVs into an InvIT-style vehicle later to access permanent, lower-cost capital and scale without re-raising equity site by site.

06 – THE CUSTOMER CONTRACT (WHERE THE REVENUE ACTUALLY GETS MADE)

- **Tenor:** 7–10 years, matched to the container's useful life and the project debt tenor.
 - **Baseline & M&V:** agree the pre-installation power-bill baseline (12 months' history + tariff schedule) upfront, using an IPMVP-style measurement-and-verification protocol — the single biggest source of disputes in ESCO contracts is disagreement over what counts as "savings," so this has to be unambiguous in the contract, not implied.
 - **Revenue split:** target 50:50 of realized savings, flexed 40:60↔60:40 by customer credit quality and minimum-offtake commitment.
 - **Two savings levers, sequenced:** lead with **time-of-day peak-shaving** (behind-the-meter, no incremental regulatory licensing beyond the standard DISCOM connection — fast to scale) and layer in **day-ahead market arbitrage** once volumes justify it (DAM participation needs open-access approval and either a trading registration or a licensed aggregator/trader — confirm per-state SERC rules before pricing this lever into early contracts).
 - **Performance flow-through:** VoltZeal's uptime SLA (from the Layer 1↔Layer 2 license agreement) flows into the customer contract as NK²'s own performance guarantee, with liquidated damages if a savings shortfall traces to system downtime.
 - **End of term:** customer buyout at depreciated book value, renewal, or NK² redeploys the container to a new site — protects residual asset value.
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07 – REGULATORY & TAX CHECKLIST

- **Electricity Act / CERC-SERC:** behind-the-meter storage for a customer's own captive load generally needs no generation/distribution license; DAM trading or any grid injection does — confirm state-specific SERC treatment before contracting that lever.

- **GST:** structure containers as the SPV's fixed asset so the SPV claims input tax credit on the ~18% GST capex; the opex service fee to the customer is itself a taxable supply — price GST into the contract.
- **Depreciation / incentives:** confirm current accelerated-depreciation treatment and any Section 80-IA-style incentives applicable to standalone storage (the rules here are still evolving for BESS specifically — verify with tax counsel before underwriting a project IRR on them).
- **Transfer pricing:** the VoltZeal↔SPV license/royalty needs a genuine benchmarking study — treat this as load-bearing, not decorative, since it's the mechanism protecting the whole dilution firewall.
- **FEMA/RBI:** if raising foreign LP capital into Holdco, a SEBI-registered Category II AIF is the cleanest wrapper — pass-through taxation, avoids downstream-investment complications, and power/storage sits on the automatic FDI route regardless.

08 — GOVERNANCE

- **VoltZeal board:** NK² majority (reflecting 80%) + 1-2 founder seats + one independent technical director; reserved matters (fresh issuance, M&A, related-party contracts, budget above threshold) require founder consent specifically where product/IP is concerned.
- **Founder protections:** title and role retention, compensation floor, information rights, tag-along on any future NK² sale of VoltZeal shares to a third party, IP assignment covenant so all post-close EMS/BMS IP sits inside VoltZeal (not a founder side-entity).
- **NK² protections:** drag-along for an eventual full platform exit, founder non-compete/non-solicit, key-man insurance on both founders.

09 — PHASED ROADMAP

0–3 mo

Diligence & term sheet

LOI + exclusivity; IP ownership audit (confirm no EMS/BMS IP sits personally with the founders outside the company); cap table clean-up; existing-investor consents.

3–6 mo

Close & stand up the structure

Execute Leg A + Leg B; incorporate NK² Energy Holdco and first 2–3 SPVs; sign anchor customers on peak-shaving-only contracts (fastest to revenue, least regulatory friction); close first tranche of project debt.

6–18 mo

Scale & layer in DAM

Grow to 15–20 sites; add day-ahead-market trading capability via a licensed partner; begin securitizing early SPV cash flows to recycle equity.

18–36 mo

Permanent capital & optionality

Evaluate InvIT-style roll-up of stabilized SPVs; consider exercising the call option on remaining founder equity; explore licensing VoltZeal's stack to third-party BESS operators as a standalone value event.

10 – KEY RISKS & MITIGANTS

Customer credit risk over a 7–10yr opex tail

MITIGANT

Security deposits, escrowed savings pass-through, credit insurance on weaker counterparties.

DAM trading regulatory access uncertain / state-dependent

MITIGANT

Underwrite base-case economics on peak-shaving alone; treat DAM as pure upside once licensing confirmed.

Unproven multi-site EMS orchestration at scale

MITIGANT

Gate capex tranches behind reliability milestones; hold back the founder earn-out against the same SLAs.

Founder demotivation after losing majority control

MITIGANT

Reverse vesting, earn-outs, genuine product autonomy, and an ESOP refresh that dilutes NK² — not the founders.

Hardware/OEM concentration (China-import dependency)

MITIGANT

Multi-source the container supply chain; push performance warranties through into the OEM-SPV supply contract.

Prepared for
NK² Squared

Structuring memo — not legal, tax or investment advice; validate every mechanic with Indian counsel before execution